

Clause Playbook

17 clauses across 8 categories · the negotiating band, per legal entity

Three positions, and the third is what makes the other two mean anything.

Standard is our opening position. Fallback is what we accept without escalation. Walk-away is the point past which we do not sign.

This is what turns a summary into a decision. Without it the system can say “the liability cap changed from 125% to 100% of annual charges” and stop. With it, the same sentence adds “that is inside the fallback band — Contract Manager may approve”. A playbook holding only a standard position produces one answer, “this differs from standard”, which is true of every negotiated contract and tells nobody anything.

Commercial

Payment terms payment_terms

Approving role: Finance Commercial Approver

STANDARD 60 days from receipt of a valid invoice.

FALLBACK 45 days.

WALK AWAY Under 30 days, or payment in advance for services not yet performed.

Measured: standard **60 days** · fallback **45 days** · walk-away **30 days** — lower is worse for us

WHY IT MATTERS Shorter terms are a working-capital cost, not a legal risk, which is why this is Finance's decision and not Legal's. Note the asymmetry: the supplier wants shorter, we want longer, so the walk-away is a floor rather than a ceiling.

Compliance

Data protection data_protection

Approving role: Legal

- STANDARD** Full UK/EU GDPR article 28 terms, no sub-processing without prior written consent, breach notification within 24 hours.
- FALLBACK** Sub-processing on notice with a right to object; breach notification within 48 hours.
- WALK AWAY** No article 28 terms where personal data is processed, or notification beyond 72 hours.

Measured: standard **24 hours** · fallback **48 hours** · walk-away **72 hours** — higher is worse for us

WHY IT MATTERS 72 hours is the regulator's deadline for the controller, so a processor notifying at 72 hours guarantees the controller misses it. The contractual clock has to be shorter than the statutory one.

Health, safety and statutory compliance health_safety

Approving role: Legal

- STANDARD** Supplier complies with all applicable health and safety law, holds relevant accreditation, and provides evidence of statutory inspections within five working days of request.
- FALLBACK** Evidence within ten working days.
- WALK AWAY** Any dilution of statutory compliance obligations, or refusal to evidence inspections.

WHY IT MATTERS In hard FM this is the clause that keeps a client out of court. Statutory inspection duties for lifts, fire systems and pressure vessels do not transfer with the service — the duty holder remains liable, so the evidence has to be obtainable on demand.

Employment

TUPE and employee transfer

tupe

GB ONLY

Approving role: Legal

STANDARD	Supplier provides employee liability information 28 days before transfer, indemnifies for pre-transfer employment liabilities, and bears the cost of its own redundancies on exit.
FALLBACK	Employee liability information 21 days before transfer, with a shared-cost mechanism for exit redundancies.
WALK AWAY	No employee liability information, or a client indemnity for the supplier's pre-transfer liabilities.

Measured: standard 28 days · fallback 21 days · walk-away — — lower is worse for us

WHY IT MATTERS UK-specific and unavoidable: on a service-provider change staff transfer by operation of law whether or not the contract mentions it. The contract only allocates the cost — and if it is silent, the cost lands on the client.

Legal

Governing law and jurisdiction

governing_law

Approving role: Legal

STANDARD	Governed by the law of the client legal entity's jurisdiction, with exclusive jurisdiction of its courts.
FALLBACK	The client entity's law with non-exclusive jurisdiction.
WALK AWAY	The supplier's home jurisdiction, or arbitration in a third country.

WHY IT MATTERS This is also what P2.16 keys off: the legal entity's jurisdiction is what determines the timezone a notice period resolves in. A contract governed elsewhere quietly changes when a deadline falls.

Force majeure force_majeure

Approving role: Legal

STANDARD Suspension of obligations for genuinely unforeseeable events; termination right if it continues beyond 60 days. Payment obligations are not excused.

FALLBACK Termination right after 90 days.

WALK AWAY Supplier failure or subcontractor failure listed as force majeure, or charges continuing at full rate while services are suspended.

WHY IT MATTERS The walk-away is the whole clause. A force majeure definition broad enough to include the supplier's own supply chain converts a service failure into an excused event, and the client pays for services it is not receiving.

Intellectual property intellectual_property

Approving role: Legal

STANDARD Client owns deliverables created for it; supplier retains its pre-existing IP and grants a perpetual licence to use it in connection with the deliverables.

FALLBACK Supplier owns deliverables and grants the client a perpetual, irrevocable, transferable licence.

WALK AWAY No licence to background IP embedded in a deliverable the client is expected to use.

WHY IT MATTERS The realistic failure is a survey or design the client owns on paper but cannot use, because it depends on the supplier's methodology and no licence was granted.

Confidentiality confidentiality

Approving role: Legal

STANDARD Mutual, surviving five years after termination, with the usual carve-outs for public domain and legal compulsion.

FALLBACK Three years' survival.

WALK AWAY One-way confidentiality in the supplier's favour, or no survival after termination.

Measured: standard **5 years** · fallback **3 years** · walk-away — — lower is worse for us

WHY IT MATTERS Survival is the operative term. Confidentiality that ends with the contract protects nothing at the moment it matters most, which is after a relationship ends badly.

Liability

Limitation of liability liability_cap

Approving role: Legal

STANDARD	Liability capped at 125% of the annual charges, uncapped for death or personal injury, fraud, and breach of confidentiality.
FALLBACK	100% of annual charges, with the same uncapped carve-outs.
WALK AWAY	Below 100% of annual charges, or any cap applied to death, personal injury or fraud.

Measured: standard 125% of annual charges · fallback 100% of annual charges · walk-away 100% of annual charges — lower is worse for us

WHY IT MATTERS The carve-outs matter more than the number. A cap on liability for death or personal injury is void in the UK under UCTA 1977 section 2(1), so a supplier proposing one is proposing something unenforceable — and accepting it signals that nobody read it.

Indemnities indemnity

Approving role: Legal

STANDARD	Supplier indemnifies for third-party IP claims, breach of data protection law, and death or personal injury caused by its negligence.
FALLBACK	The same, with the IP indemnity capped at the liability cap.
WALK AWAY	No data protection indemnity where the supplier processes personal data.

WHY IT MATTERS An indemnity sits outside the liability cap unless the contract says otherwise, so it is the clause most often traded away by someone who has read only the cap.

Insurance insurance

Approving role: Legal

STANDARD	Public liability £10m, employer's liability £10m, professional indemnity £5m where advice is given, all maintained for six years after termination.
FALLBACK	Public and employer's liability £5m; professional indemnity £2m.
WALK AWAY	Employer's liability below the statutory minimum, or no run-off cover for professional indemnity.

WHY IT MATTERS Run-off is the part that gets dropped. A defect discovered three years after a contractor leaves is uninsured if cover ended with the contract, and that is exactly when building defects surface.

Operational

Subcontracting

subcontracting

Approving role: Procurement Supplier Manager

STANDARD No subcontracting without prior written consent; supplier remains fully liable for subcontractors.

FALLBACK Subcontracting permitted to a named list, with consent required for additions.

WALK AWAY Subcontracting at will, or any dilution of the supplier's liability for its subcontractors.

WHY IT MATTERS The liability point is the one that matters. Consent rights are administratively expensive; a supplier that stays liable for its chain has the incentive to manage it, and one that does not has the opposite.

Change control

change_control

Approving role: Finance Commercial Approver

STANDARD All changes in writing, priced against the agreed rate card, signed by both parties before work begins.

FALLBACK Changes under an agreed low-value threshold may be confirmed retrospectively within five working days.

WALK AWAY Unilateral change of charges, or indexation without a published index and a cap.

WHY IT MATTERS Indexation is where multi-year FM contracts drift. 'RPI' with no cap on a five-year contract is an open-ended commitment, and it is invisible at signature because the first year looks the same either way.

Performance

Service levels and service credits

service_levels

Approving role: Contract Manager

STANDARD Service credits up to 10% of monthly charges, with a right to terminate for persistent failure over three consecutive months.

FALLBACK Credits up to 5%, termination right after four consecutive months.

WALK AWAY Service credits as the sole remedy for service failure.

Measured: standard 10% of monthly charges · fallback 5% of monthly charges · walk-away — — lower is worse for us

WHY IT MATTERS 'Sole remedy' is the phrase to watch. It converts every failure into a small discount and removes the right to claim actual loss — so a supplier whose failure closes a building owes you a percentage of one month's fee.

Term

Term and renewal term_renewal

Approving role: Contract Manager

STANDARD	Three-year initial term, renewal by express agreement only.
FALLBACK	Automatic renewal for twelve months with 90 days' notice to prevent it.
WALK AWAY	Automatic renewal with less than 90 days' notice, or renewal for a term longer than the original.

WHY IT MATTERS Auto-renewal is the single largest source of unintended commitment in FM, and it is why Po-D5's key dates exist. A 30-day notice window on a three-year renewal means one missed reminder costs three years.

Termination for convenience termination_convenience

Approving role: Contract Manager

STANDARD	Client may terminate on 90 days' notice without cause and without charge.
FALLBACK	90 days' notice with payment for work performed and unavoidable committed costs, evidenced.
WALK AWAY	No termination for convenience, or an exit fee not tied to evidenced costs.

Measured: standard **90 days** · fallback **90 days** · walk-away — — higher is worse for us

WHY IT MATTERS 'Unavoidable committed costs' must be evidenced or it becomes whatever the supplier asserts on the way out — which is the moment the relationship is least cooperative.

Exit and transition assistance exit_transition

Approving role: Contract Manager

STANDARD	Twelve months' transition assistance at contract rates, with asset registers, maintenance history and data returned in a documented format.
FALLBACK	Six months' assistance at contract rates.
WALK AWAY	No obligation to return maintenance history or asset data, or transition assistance priced at the supplier's discretion.

Measured: standard **12 months** · fallback **6 months** · walk-away — — lower is worse for us

WHY IT MATTERS The data is the lock-in. A supplier holding the only maintenance history for an estate is very difficult to replace regardless of what the termination clause says, and the successor cannot price the work without it.
